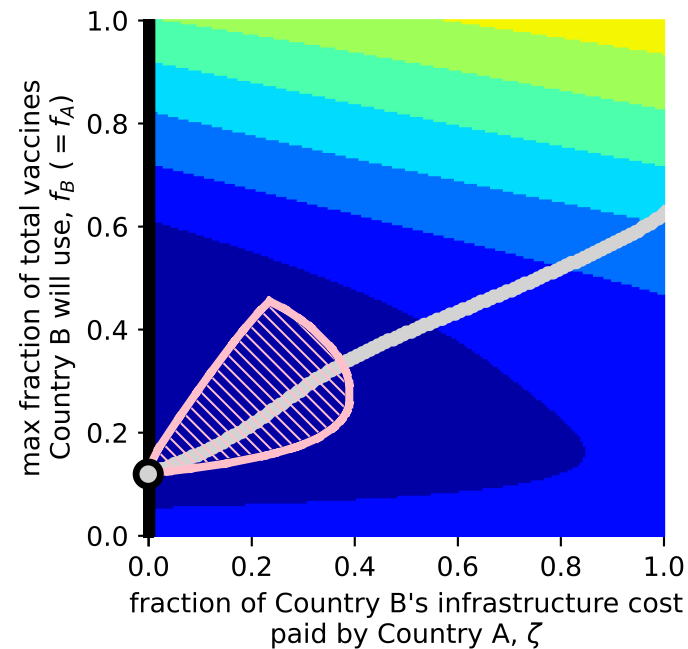


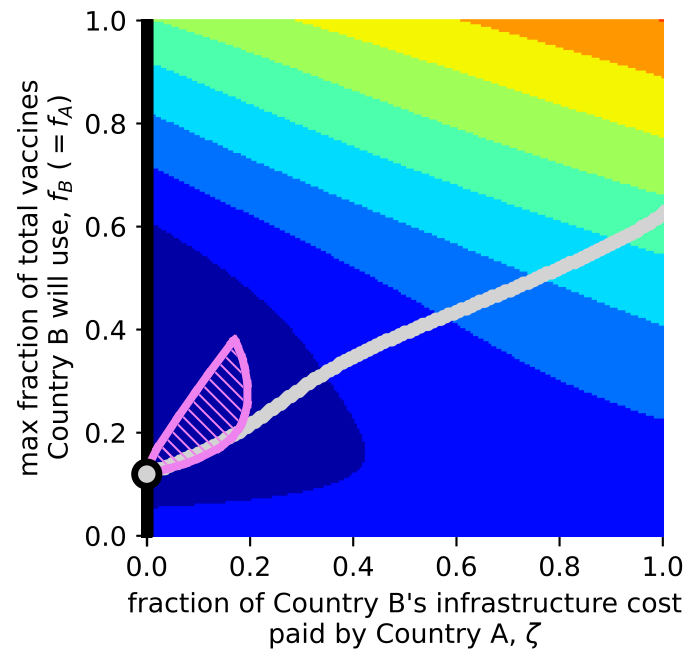
A

infrastructure development costs for Country A are 25% as costly as for Country B



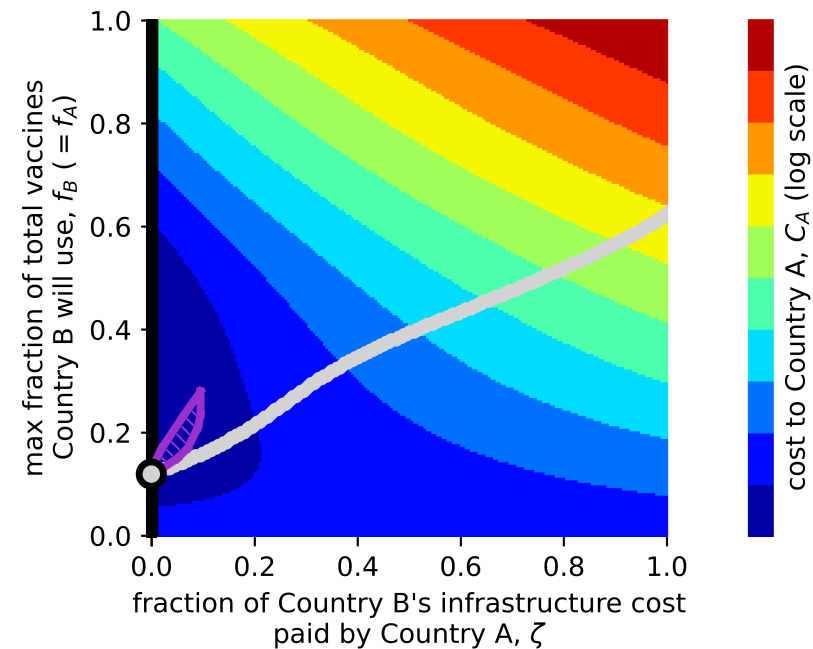
B

infrastructure development costs for Country A are 50% as costly as for Country B

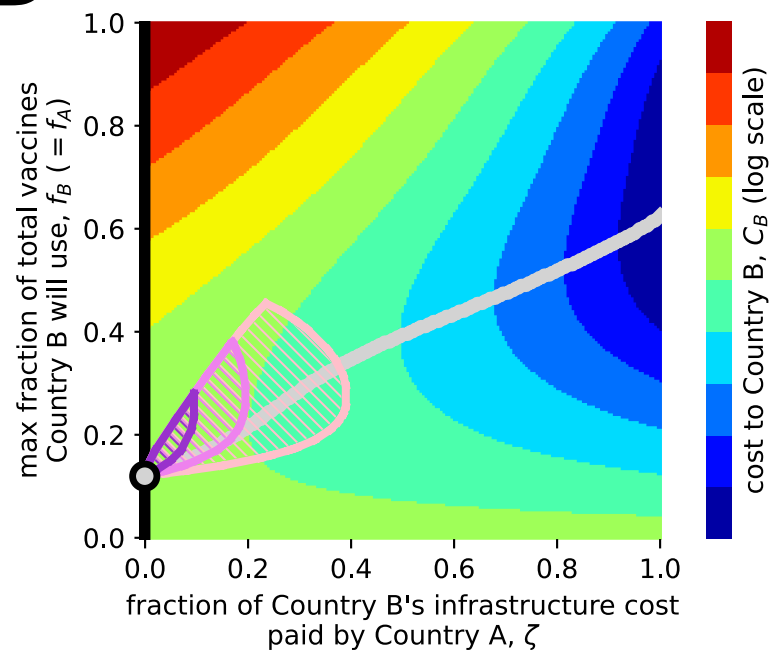


C

infrastructure development costs for Country A are 100% as costly as for Country B



D



- Country A's cost-minimizing values of f_A
- Country B's cost-minimizing values of f_B
- overlap (Nash equilibria)

regions of lower cost than Nash equilibrium for both countries, with infrastructure development costs for Country A...

- 25% as costly as for Country B
- 50% as costly as for Country B
- 100% as costly as for Country B